Edelen, Evans, and Kadlec (2012) show that greater transparency in fee payments lowers agency costs and results in better return performance. But more opaque payments reduce fund outflows when the going gets tough, perhaps because investors can't directly see how much they're paying in fees. Barber, Odean, and Zheng (2005) show that mutual fund investors react only to in-your-face fees, like loads and commissions, rather than less obvious fees, like operating expenses. Active fund companies prefer complexity and opacity to make investor money stickier.[39]

Even if all fees were clearly marked, investors may simply not pay that much attention to them (to their detriment). Choi, Laibson, and Madrian (2010) conduct an experiment on Harvard staff, Wharton MBAs, and Harvard undergrads—among the most financially literate members of society. They find that in choosing S&P 500 *index* funds—plain vanilla products that investors should choose primarily based on fees—their subjects consistently choose funds based on past returns. The subjects continued to ignore fees even when given significant monetary incentives and help to make the best choice.[40]

Mutual Fund Company Margins Are High

Table 16.8 is the income statement for Janus in fiscal year 2011. Janus recovered nicely from its disasters in the early 2000s and enjoyed a high profit margin of 32% in the new decade. This high level of profit is typical of mutual fund companies—the mutual fund business is a great business to be in.

Table 16.8 shows that only a minority of Janus's revenue is performance-linked. In 2011, Janus lost only 1% in incentive fees for poor performance. (Remember that the 40-Act only allows symmetric performance fees, so managers lose if they underperform their benchmarks.) Most of the revenue is thus directly linked to AUM. Janus was able to maintain positive operating margins even in the early 2000s (see Figure 16.1) because a large part of its expenses also fluctuate with AUM; in particular, more than half are salaries. Janus also pays large distribution and marketing costs, which amount to 30% of its total expenses.

Gur Huberman (2010), my colleague at Columbia Business School, thinks that the high profit margins of mutual fund companies are not reflected in their share

[39] Carlin (2009) shows this is optimal for funds in equilibrium. Del Guercio and Tkac (2002) find that mutual fund flows do *not* respond to fees, only to past returns. See also Stoughton, Wu, and Zechner (2011), who construct an equilibrium model with kickbacks. Higher kickbacks are associated with higher portfolio management fees and reduced performance.

[40] See also Hortaçsu and Syverson (2004), who claim that some investors ignore high fees because they have high search costs.